

Markets in the making (lecture note)

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Introduction

Michel Callon's market theory provides a sociological framework for understanding how markets are constructed and function. Central to Callon's theory is the idea that markets are not pre-existing entities but are constructed through the interactions of various actors, including producers, consumers, intermediaries, and even non-human elements like technologies and regulations. This perspective challenges the neoclassical view of markets as self-regulating mechanisms governed by the invisible hand of supply and demand. Instead, Callon suggests that markets are the result of complex socio-technical arrangements that require constant work to maintain. One of the most influential aspects of Callon's theory is the concept of performativity. The **performativity thesis** suggests that economic theories and models do not merely describe markets but actively shape them. In other words, economic theories are performative in the sense that they influence the behaviour of market participants and the structure of markets.

Callon and colleagues highlight the role of "**market devices**" and "**agencements**" (**arrangements**) in shaping market dynamics. Market devices refer to the tools, technologies, and institutions that facilitate economic transactions, such as pricing mechanisms, quality standards, and marketing strategies. These devices are not neutral but actively shape the behaviour of market participants and the outcomes of economic interactions. Agencements, on the other hand, refer to the broader socio-technical arrangements (STAs) that constitute markets. These arrangements include the networks of actors, the rules and norms governing their interactions, and the material infrastructures that support market activities. In other words, STAs can be thought of as comprising multiple networked market devices.

Callon's theory also has important implications for understanding the **political dimensions of markets**. By emphasising the constructed and contingent nature of markets, Callon's work underscores the role of power and interests in shaping economic outcomes. Markets are not neutral arenas but are influenced by the interests and agendas of various actors, including corporations, governments, and civil society organizations. This perspective highlights the need to critically examine the political and social contexts in which markets operate and to consider the implications of market arrangements for issues like inequality, sustainability, and social justice. The notions of framing and overflowing can be particularly helpful in analyzing these political and normative implications of markets.

Reading guide

Two readings are provided for this lecture. One is more theoretical ('An introduction to market devices'), while the other is applied to a case not far from the subject of energy islands ('Paradigm shift in Danish wind power'). Below are the suggestions for how to read the two articles:

Muniesa, F., Millo, Y., & Callon, M. (2007). An introduction to market devices. *The Sociological Review*, 55(SUPPL. 2), 1–12. <https://doi.org/10.1111/J.1467-954X.2007.00727.X>

This text is the introductory chapter of a much-cited edited volume containing numerous empirical studies of specific instances of 'market devices'. The introduction seeks to offer an overarching conceptualization of 'market devices'. The text contains quite a bit of sociological jargon as well as many references to famous sociologists/philosophers like Bourdieu, Foucault and Deleuze. While this enhances the readability for the sociologist, it makes it less accessible for the non-sociologist. Hence, when reading, try to look past this and focus on the following sections and aspects:

- Page 1 introduces a 'pragmatic turn' in the study of markets – think about how the pragmatic turn highlights that markets are constructed rather than naturally occurring arenas.
- On the first half of page 2, pay attention to how 'market devices' are described. Remember that 'device' here covers something broader than what we think of when saying 'device' in common language.
- Think about the passage stating "But the notion of 'device' can also suggest a bifurcation of agency: the person on one side and the machine on the other (...). In our view, this bifurcation needs to be avoided or, at least, handled with caution." (page 2) – what is the potential pitfall here? Read page 2-3 thinking about how the notion of 'agencement' may help avoiding treating devices and their users as pure and delineated entities.
- On page 3-4, also think about what it means for agencements to be 'economized' or 'marketized'.
- On page 5, notice the passage about performativity: "The analyses of market devices provided in this book are also characterized by close attention to the different types of knowledge required to produce and stabilize these devices, which points to the issue of performativity. In markets, representation and intervention are intertwined. Markets are both the objects and the products of research. From financial engineering to marketing research, the sciences of the market are in themselves a part of markets."
- From the bottom of page 5 to the top of page 10, the chapters of the edited volume are introduced. You can skim quickly across these pages. Focus on noticing the breadth of market devices being studied.

- On page 10, pay attention to the section that warns against treating devices as ‘pure’ – how can a focus on agencements help us avoid this? Think about what we have learned about agencements earlier in this text.

Kirkegaard, J. K., Cronin, T., Nyborg, S., & Karnøe, P. (2021). Paradigm shift in Danish wind power: the (un)sustainable transformation of a sector. *Journal of Environmental Policy and Planning*, 23(1), 97–113. <https://doi.org/10.1080/1523908X.2020.1799769>

Note that this article is written for a journal, where there are multiple articles about social acceptance, but very few articles relating to Callon’s market theory. The article is thus an example of how Callon’s market theory can be applied and communicated to a broader audience.

We suggest reading the article, focusing on three things:

- Think about what you learned about social acceptance in lecture 9.1. How is research on social acceptance being criticized in the article by Kirkegaard et al.? How do the authors argue that their “relational lens of market studies” (p. 1) can add to and improve social acceptance research?
- Pay attention to how market theory is being used in the paper (esp. see page 3-4). Notice that rather than ‘market devices’, the article employs the notion of ‘socio-technical agencements’ (STAs) introduced by Caliskan and Callon (2010). The easiest way to think about STAs is that they are networks of multiple market devices, actors, institutions and more. Furthermore, Kirkegaard et al. use the notions of framing and overflowing. Think about how they can be employed to understand how markets spur controversies, resistance and opposition.
- Lastly, you can use the article as an empirical background to the case of energy islands that you are working with. The article provides a detailed account of the history of wind energy in Denmark up to the point where it was decided to construct energy islands – from the cooperative roots of wind energy deployment in the 1980-90s to large scale wind farms onshore or offshore since 2000.

Definitions

Performativity: This concept suggests that economic theories and models do not merely describe markets but actively shape and perform them. For example, the theory of supply and demand doesn't just explain market behaviour; it influences how market participants act by providing a framework for their decisions.

Framing: This refers to the process by which market actors define and delimit the boundaries of market transactions. Framing includes determining what is to be

exchanged and under what conditions. For instance, in the market for organic produce, framing involves setting standards for what qualifies as "organic" and establishing the certification process. Framings tend to produce unintended 'overflows', which can spur public opposition and controversy, calling for re-framings of the overflowing markets.

Market devices: The tools, technologies, and institutions that facilitate economic transactions, such as pricing mechanisms, quality standards, and marketing strategies. Market devices should not be considered 'pure' instruments, but rather as material and discursive assemblages, which orient actions and thus organize markets in particular ways.

Market socio-technical agencements (STAs): This concept refers to the arrangements and assemblages of human and non-human actors (including market devices) that constitute a market. These can include institutions, technologies, regulations, and even cultural norms. For example, the market for electric vehicles is shaped by a network of actors, including car manufacturers, government regulations, charging infrastructure, and consumer preferences.

Further Reading

- **Callon, M. (ed.) (1998). *The Laws of the Markets*.** Oxford: Blackwell. Michel Callon edited this highly influential anthology. It contains two chapters by him: Firstly, an introduction that describes the concept of performativity and outlines how to study the construction of markets. Secondly, an essay that presents and explores the notions of framing and overflowing.
- **MacKenzie, D. (2006). *An Engine, Not a Camera: How Financial Models Shape Markets*.** Cambridge, MA: MIT Press. This book explores the performativity of financial models and their role in shaping market behaviours. It offers insights into how economic theories actively influence market dynamics.
- **Çalışkan, K., & Callon, M. (2010). Economization, part 2: A research programme for the study of markets.** *Economy and Society*, 39(1), 1–32. <https://doi.org/10.1080/03085140903424519>. This article introduces the concept of 'socio-technical agencements' (STAs) in detail.
- **Geiger, S. et al. (eds) (2024) *Market Studies: Mapping, Theorizing and Impacting Market Action*.** Cambridge: Cambridge University Press. This edited volume provides a comprehensive overview of the history, key concepts, theories and methods employed to study markets in the making. The contributors provide an introduction and discussion to the various devices and mechanisms that constitute markets.
- **Geiger, S., and Gross, N. (2017) *Market Failures and Market Framings: Can a market be transformed from the inside?*** *Organization Studies*, 39(10), 1357–1376. <https://doi.org/10.1177/0170840617717098>. The authors investigate how markets can be innovated or "revised" when public and commercial interests

diverge significantly. Focusing on the Geneva Medicines Patent Pool, a civil society initiative aimed at changing pharmaceutical firms' licensing and collaboration practices in the market for HIV/AIDS medicines, they found that while redevising a market can shift its frames and alter its practices, this process is often lengthy, and not entirely predictable.